

NB Investment Memo

NioCorp Developments Ltd. (Nasdaq: NB) | 2026-08-04

The Business in 30 Seconds

NioCorp is a British Columbia-incorporated, Colorado-headquartered, pre-revenue development-stage company whose entire value proposition is the Elk Creek Project in Johnson County, Nebraska — a carbonatite deposit that would produce niobium, scandium, and titanium dioxide (plus a potential rare-earth by-product) [NB_10K_FY2025.htm, Item 1]. It is not yet under construction, has zero Proven reserves (its entire reserve base is Probable-tier), and generates no revenue [NB_10K_FY2025.htm, Item 1A]. The company is a U.S. SEC 10-K filer with a fiscal year ending June 30.

What's Going Right

The balance sheet has been transformed. Cash grew from \$2.0 million (FYE2024) to \$25.6 million (FYE2025) [NB_10K_FY2025.htm, Item 7], and — per external reporting not yet reflected in an audited filing — to approximately \$419.2 million by March 31, 2026 [[Earnings/Q3 FY2026 Update]]. All debt (Yorkville Convertible Debentures, April 2024 Notes, the Smith Loan) was fully retired during FY2025, leaving the company debt-free [NB_10K_FY2025.htm, Note 8].

Three confirmed niobium offtake agreements provide commercial validation for one of the project's three planned products: CMC Cometals (2016), Traxys North America (as assignee, 2020), and ThyssenKrupp Metallurgical Products GmbH [NB_10K_FY2025.htm, Item 15].

Government financing relationships are advancing, though incomplete. The EXIM Bank application (up to \$800 million) has cleared multiple formal review steps since June 2023 and sits at step two of four as of the FY2025 filing [NB_10K_FY2025.htm, Item 1A]; a DoD-affiliated reimbursement agreement (up to \$10.0 million, milestone-based) was signed August 4, 2025 [NB_10K_FY2025.htm, Note 17].

A genuinely scarce resource. CBMM (Brazil) supplies ~85% of the world's niobium, and there are currently zero primary scandium mines anywhere in the world [NB_10K_FY2025.htm, Item 1A] — if built, Elk Creek would be one of very few non-CBMM niobium sources and among the first primary scandium producers globally, in a policy environment actively favoring Western critical-minerals diversification (Note: from external source, see [[Industry Scan]]).

External reporting suggests physical construction may have begun. Mine portal construction activity was reportedly announced in February 2026 (Note: from external source, not yet independently verified against a primary filing — see [[Earnings/Q3 FY2026 Update]]).

What Could Go Wrong

Going-concern doubt has persisted, unresolved, for three straight audited fiscal years.

[NB_10K_FY2025.htm, Report of Independent Registered Public Accounting Firms]: "These conditions raise substantial doubt about its ability to continue as a going concern" — nearly identical language appears in the FY2024 and FY2023 filings. Management's own MD&A states this cannot be resolved until construction financing is actually secured [NB_10K_FY2025.htm, Item 7], meaning even the dramatically improved FY2026 cash position (per external reporting) does not, by the company's own logic, resolve the underlying doubt.

Project economics disclosed in the 10-Ks are stale, and the headline NPV/IRR figures don't even appear in the filings. The only NAV anchor — a \$2.8 billion pre-tax NPV and 29.2% pre-tax IRR — comes from a June 2022 press release, not from any of the three audited 10-Ks reviewed, which disclose only the underlying LOM cash-flow table without a summary NPV/IRR [NB_10K_FY2025.htm, Item 2]. Management has launched a feasibility-study update specifically because EXIM's diligence requires current figures — an implicit admission the 2022 numbers are dated.

Aggressive, company-acknowledged dilution. Shares outstanding grew 54% in FY2025 (38.1M → 58.5M) [NB_10K_FY2025.htm, Consolidated Balance Sheets], and management's own filing states future financings "will likely be dilutive to current shareholders" [NB_10K_FY2025.htm, Item 7] — not a hedge, a forecast. External reporting shows this continued at an even larger scale into FY2026 (~2.5x share count growth in under 12 months) [[Valuation Check]].

Material weakness in internal control over financial reporting, disclosed as of the FY2025 fiscal year-end [NB_10K_FY2025.htm, Item 9A] — a governance concern at precisely the moment the company needs to present as a credible counterparty for \$800 million in federal debt financing.

A permit that has been pending for over a decade. The Radioactive Materials License from Nebraska's NDHHS has been in process "since 2014" with no disclosed resolution timeline [NB_10K_FY2025.htm, Item 2].

Two of three planned products remain uncontracted. All disclosed offtake agreements relate to niobium; scandium and titanium offtake agreements are listed as still-outstanding work [NB_10K_FY2025.htm, Item 2].

The Numbers That Matter

Metric	FY2025	FY2024	FY2023
Revenue	\$0	\$0	\$0
Net loss attributable to Company (\$000)	(17,405)	(11,435)	(40,080)
Loss per share	\$(0.36)	\$(0.31)	\$(1.34)
Cash (\$000)	25,554	2,012	2,341
Total debt (\$000)	0	8,231*	10,561
Total shareholders' equity (\$000)	28,323	1,000	(10,967)
Shares outstanding	58,491,196	38,062,647	31,202,131
Net cash used in operations (\$000)	(10,660)	(11,732)	(17,295)

FY2024 total debt is the sum of current convertible debt (\$7,660K) and warrant/earnout liabilities are excluded; see [\[\[Financial Deep Dive\]\]](#) for full balance-sheet detail.

Source: [\[NB_10K_FY2025.htm\]](#) and [\[NB_10K_FY2024.htm\]](#), Consolidated Financial Statements. Post-FY2025 figures (cash ~\$419.2M as of March 31, 2026) are from external sources not yet verified against a primary filing — see [\[\[Earnings/Q3 FY2026 Update\]\]](#).

Valuation

Standard earnings multiples (P/E, EV/EBITDA) are **not meaningful** for a pre-revenue company. Key external data points (Note: from external source, as of August 4, 2026, see [\[\[Valuation Check\]\]](#) for full detail and caveats):

Metric	Value
Stock price	~\$5.00–\$5.03
Market cap	~\$730 million
Cash (Mar 31, 2026, external)	~\$419.2 million
Debt	\$0
Only published project NAV	\$2.8B pre-tax NPV (June 2022 study — stale, not repeated in any 10-K)

Metric	Value
Illustrative P/NAV (stale NAV)	~0.26x
Analyst consensus	"Strong Buy" / "Outperform," average PT range \$7.25–\$13.13 depending on source (2-12 analysts)

Scenarios (see [[Valuation Check]] for full assumptions — necessarily qualitative given the absence of a current, filing-disclosed NPV):

- **Bull:** EXIM debt financing closes; updated feasibility study confirms or improves on 2022 economics; construction proceeds without major permitting delays. Market re-rates toward a financed, de-risked developer — materially above current market cap.
- **Base:** EXIM process continues but slower than hoped; company continues bridging via dilution; updated study shows broadly similar inflation-adjusted economics. Roughly in line with current market cap, with dilution offsetting NAV progress per share.
- **Bear:** EXIM financing does not materialize on acceptable terms; a key permit is delayed or denied; updated study shows worse economics. Market re-rates toward pure optionality/ exploration-stage valuation, materially below current market cap.

Moat Assessment

Source	Rating
Switching costs	Not Applicable (pre-revenue)
Network effects	Absent
Cost advantages	Weak (unproven, unbenchmarked against CBMM)
Intangible assets	Weak (no patents; land control is tangible, not intangible)
Efficient scale	Unproven pre-construction; potentially Strong if built
Trajectory	Entirely contingent on execution — not yet determinable

Decision

Current stance: Speculative

NioCorp is not a company to evaluate on conventional operating or valuation metrics — it is a financing-and-permitting option on a genuinely scarce critical-minerals deposit. The bull case is real: a dramatically improved balance sheet, three confirmed niobium offtake agreements, advancing (if incomplete) EXIM and DoD government relationships, and a policy backdrop that favors Western critical-minerals diversification. But the bear case is equally real and, unusually for this kind of memo, largely drawn directly from the company's own audited disclosures rather than external speculation: three consecutive years of unresolved going-concern doubt, a reserve base that is 100% Probable-tier with zero Proven reserves, project economics (NPV/IRR) that the company's own 10-Ks do not disclose, a disclosed material weakness in internal controls, and dilution that management itself forecasts will continue. This is a name for a small, speculative position sized for genuine binary-outcome risk — not a core holding — until the EXIM financing decision and the updated feasibility study both land, at which point the picture will be far clearer in either direction.

Key triggers to watch: - EXIM Bank final financing decision (approval, decline, or continued indefinite delay) - Publication of the updated Elk Creek Feasibility Study (in progress since April 2025) - Resolution of the Radioactive Materials License (pending since 2014) - Whether the FY2026 10-K (expected ~September 2026) removes or maintains the going-concern qualification - Any scandium or titanium offtake agreements (currently absent)

Key risks to monitor: - Continued dilution at a pace inconsistent with an approaching financing close - Single-project concentration — there is no fallback asset if Elk Creek's financing or permitting path fails - CBMM pricing behavior and broader niobium/scandium/titanium price trends - Governance/controls quality given the disclosed FY2025 material weakness

Sources: NioCorp Form 10-K filings (FY2023–FY2025, filed with the SEC 2023–2025), external market data and company press-release coverage (stockanalysis.com, StockTitan, MarketBeat, WallStreetZen, Investing.com, Mining.com, niocorp.com, and other aggregators as cited throughout). All financial and project metrics cited from filings unless explicitly flagged as external data. The most recent quarterly developments (post-June 30, 2025) were sourced from external reporting only and were not independently verified against a primary SEC filing for this report — see [[Earnings/Q3 FY2026 Update]] for the explicit recommendation to verify directly before finalizing any position.